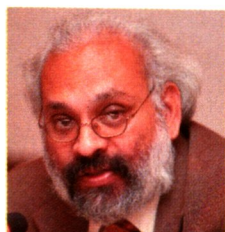




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Two thirds of GDP is domestic consumption. If demand is maintained, impact will be limited. Immediate issue is liquidity. Medium-term issue will be credit flow and long-term issue is investment.

We are heavily dependent on foreign investment to finance our infrastructure projects. Just as we seem to be getting our act together on the policy and regulatory fronts, we might find that finances are constrained. This is not good for the growth story.

The meltdown will have a deleterious impact on the Indian economy with regard to imports and exports. Further, the global liquidity crunch will affect the inflow of funds. This will have a negative impact on the capital markets, real estate and capex.

Rate sensitive sectors where consumption is driven by credit, IT&BPO and tourism.

Infrastructure sectors that are just raising funds; services that sell to global financial institutions; tourism-related services.

Financial sector, exports, IT/IT services will be affected; but in the long-run increased offshoring could benefit India.

Yes, the Government has been proactive but it needs to do much more.

Pro-active, generally, yes. Whether enough or not, is too early to judge.

There is no doubt that the Government has been proactive and is trying to inject liquidity into the market.

Re-assess interest rates as there is a case for a rate cut; quicken the pace of government spending, pay extra attention to credit to SME sector.

Maintain liquidity, cut interest rates when inflation has abated; get the fiscal house in order to generate resources for infrastructure investment; privatise, to supplement these resources.

Cut CRR to 5.5 per cent and repo rate by 1 per cent; place transparent regulatory mechanism for MFs; encourage long-term investment by institutions like LIC.



FIRE FIGHTERS:
Manmohan and
Chidambaram

As of now, the Government has been forced to bail out these funds through additional liquidity of Rs 20,000 crore. Low risk and high returns have now been replaced by high risk and low returns.

This sentiment is driving business too. Fed on a high cholesterol diet of easy liquidity, five years of global growth and foreign capital, companies in India invested, employed and profited from resultant consumption growth. The financial tsunami has washed some harsh realities home. Business is funded by a combination of equity, debt and income from operations. All of it is difficult to come by. The meltdown has forced countries to package bailouts collectively valued at \$3.5 trillion (or three times India's annual GDP). This has resulted in a crash of the worth of companies worldwide and resulted in tighter money supply. As redemption pressures forced FIs to pull out over \$10 billion valuations crashed. Even as raising equity got tougher, the credit crunch rendered debt dearer. Now even if entrepreneurs do attract equity money and raise debt, they are not assured of revenues because consumers would rather save. Thanks to demand slowdown jobs are at risk, leading to drop in consumer confidence and triggering a vicious cycle. Bottom-line: the slowdown will hurt corporate income and profits. Of course, those with cash generated from real assets and real incomes are uniquely placed. For instance, a company with cash entering the retail business now will get cheap real estate as prices fall; it can pick and choose talent in the pink-slip-raj and set up a cost-efficient business to play long-term.

In contrast, many of those who leveraged their equity and acquired businesses in the hope of continuing growth will find it difficult to service debt

45		45		48	
2008-09	7-7.5%	2008-09	7.5%	2008-09	7%
2009-10	7-7.5%	2009-10	7.3%	2009-10	6.8%